
FOREWORD

John Rothchild is the first investment advisor to publicly admit that making high profits from secure and prudent investments is not something his readers will accomplish. Investment success takes talent, education, training, experience, effort, and devotion to the craft. Making money is work—and we don't know how to do it. We realize this is about other kinds of work. If we aren't surgeons we probably won't try to perform appendectomies. But investment fools us. We have so much information—Bloomberg Business News, Money Management for Dummies software. And the tools we need—checkbook and ballpoint pen—come readily to hand. Plus the rewards appear enormous. If haircuts went for a million a piece, we'd all be tempted to get out the scissors. But what would our customers look like? Like our investment portfolios.

Something else that lures us into investing is that being an investor doesn't seem to be a job. It seems—and nothing seems nicer—to be somebody else's job. That is, our money is supposed to be “working for us.” But try this with the change you leave on the dresser overnight. Did you ever awake to discover that the nickels and dimes had accomplished a useful task while you slept?

And there's one more enticement, our brains. We're smarter than average. (We're here reading a book so obviously we are.) Since we're smarter than average, we should be able to do better than the market average with our investments returns. But the math is not good on this. Say we're smarter than 85% of the people on earth. that still leaves 855 million people who are smarter than us. This is the population of North America, Western Europe and Japan plus almost 50 million wisecracks in emerging nations around the globe.